loan and what interest rates must the trust pay to investors on the securities it issued? That is the LIBOR transition challenge facing many RMBS and other LIBOR-indexed asset-backed securities. LIBOR Transition and LIBOR- Indexed Mortgage Notes The initial level of complication in the LIBOR transition occurs with the mortgage notes. It was common for mortgage notes to provide for LIBOR being unavailable, but that still makes LIBOR transition complicated, particu- larly for securitized loans. First, many lenders use the Fan- nieMae/FreddieMac standard note template, and that template contains LIBOR replacement language that com- monly was used in mortgage notes. Even though most mortgage notes used the FannieMae/FreddieMac LIBOR replacement language, at some point soon, trustees and servicers will have to analyze every mortgage note to make sure that they know, for every loan, how the interest rate on that loan will be affected by the end of LIBOR. The question for investors (and homeowners, of course) is what to do if trustees and servicers forgo that expensive and time-consuming process and just work off the assumption that all notes use the LIBOR replacement language in the FannieMae/FreddieMac standard note template. Second, FannieMae/FreddieMac have adjusted their standard note template and policies to account for the LIBOR transition and, as of the end of 2020, no longer offer LIBOR-indexed prod- ucts. Prior to that, however, the Fan- nieMae/FreddieMac standard note form used this LIBOR defnition and fallback language: The “Index" is the average of inter- bank offered rates for one month U.S. dollar-denominated deposits in the London market ("LIBOR"), as published in The Wall Street Journal. The most recent Index fgure avail- able as of the date 15 days before each Interest Rate Change Date is called the "Current Index". If the Index is no longer available, the Note Holder will choose a new index that is based upon comparable information. The Note Holder will give notice of this choice. The Note Holder will deliver or mail to me [Borrower] a notice of any changes in the amount of my monthly pay- ment before the effective date of any change. Here, once LIBOR ceases to be pub- lished, the trustee of the securitization trust, as the owner of the note, gets to “choose a new index that is based upon comparable information.” This is great for the trustee, perhaps not so much for the borrower. Even more, “comparable information” is a vague term that is sure to be the subject of litigation. There are legislative solutions (both adopted and proposed) to the problem of litigation over the trustee’s choice of a replace- ment rate that offer answers to this ques- tion. However, uncertainty—and hence substantial litigation risk—remains on the ultimate scope or effectiveness of those legislative solutions. LIBOR-Indexed Payments to RMBS Investors As with individual mortgage notes, there is no standard LIBOR fallback language in securitization documents. Since there are many fewer RMBS secu- ritization trusts than the many millions of mortgage notes, it should not be unduly burdensome for a trust to deter- mine how it is supposed to pay inves- tors if LIBOR no longer is available. The defnition of LIBOR in the pooling and servicing agreement for a typical RMBS securitization trust, ABFC 2006- OPT1, explains what the trustee is to do if LIBOR is not available, offering a waterfall of choices based on the infor- mation is available to the trustee. “One-Month LIBOR”: With respect to each Interest Accrual Period, the rate determined by the Trustee on the related LIBOR Determination Date on the basis of the interbank offered rate for one-month United States dollar deposits in the London market as such rate appears on the Telerate Page 3750, as of 11:00 a.m. (London time) on such LIBOR Deter- mination Date. If such rate does not appear on that page (or such other page as may replace that page on that service, or if such service is no longer offered, another service for displaying One-Month LIBOR or comparable rates as selected by the Trustee) on a LIBOR Determination Date, One-Month LIBOR for the related Interest Accrual Period will be the Reference Bank Rate, deter- mined by the Trustee as follows: (i) If on such LIBOR Determination Date two or more Reference Banks provide Reference Bank Rates, One-Month LIBOR for the related Interest Accrual Period shall be the arithmetic mean of such Refer- ence Bank Rates (rounded upwards WEDNESDAY, MAY 26, 2021